IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO: 18/4-978/24

BETWEEN

MOHD FITRI BIN IBRAHIM

AND

YAYASAN ISLAM PULAU PINANG

AWARD NO.: 1889 OF 2025

Before	:	**Y. A. TUAN JEYASEELEN A/L T. ANTHONY** Chairman (Sitting Alone)
Venue	:	Industrial Court of Malaysia Penang Branch
Date of Reference	:	29.07.2024
Date(s) of Mention	:	03.09.2024, 22.10.2024, 18.11.2024, 07.04.2025, 12.09.2025, 26.09.2025
Date(s) of Hearing	:	05.05.2025, 06.05.2025

Representation : Dato' Ajit Singh Jessy and Ms. Joyce Fernandez learned counsels from Messrs Jessy & Associates for the Claimant

Claimant present

Mr. Marwan Abdullah and Mr. Ali Izzuddin Nor Hasbullah, learned counsels from

Messrs Mu'az Aiman Halem Auzan & Associates for the Respondent

A W A R D

Reference

[1] This is a reference made on 29.07.2024 by the Director-General of Industrial Relations Department to the Industrial Court of Malaysia under Section 20(3) of the Industrial Relations Act 1967 ('the Act') arising out of the dismissal of **MOHD FITRI BIN IBRAHIM** (hereinafter referred to as 'the Claimant') by **YAYASAN ISLAM PULAU PINANG** (hereinafter referred to as 'the Foundation'). The Director-General reference in this case before the

Court requires the Court to hear and determine the Claimant's complaint of dismissal by the Foundation on the 01.03.2024.

The Pleaded Case

[2] The Claimant's pleaded case as contained in his Statement of Case dated 24.9.2024 was that he commenced employment with the Foundation on 1.3.2021 as General Manager under a fixed term contract for two (2) years which was from 1.3.2021 until 1.3.2023 (hereinafter referred to as the '1st Contract of Service').

[3] The Claimant averred that thereafter, upon the expiry of his First Contract of Service, his contract was renewed and he was appointed as Chief Executive Officer of the Foundation for a tenure of twelve (12) months from 1.3.2023 until 1.3.2024 (hereinafter referred to as the '2nd Contract of Service').

[4] The Claimant pleaded that vide Clause 4 of the Second Contract of Service, he applied to the Chairman of the Foundation to extend his contract of service in or around the month of July 2023.

[5] According to the Claimant, vide Contract of Service dated 1.8.2023 (hereinafter referred to as the 3rd Contract of Service'), the Claimant was again offered employment and was appointed as Chief Executive Officer of the Foundation for a tenure of thirty months (30) months which was from 1.8.2023 until 1.2.2026 and there was no change in the Claimant's salary.

[6] The Claimant then pleaded that vide the Foundation's letter dated 22.12.2023, the Claimant was informed that his 3rd Contract of Service was not in accordance with Foundation's guidelines and therefore was invalid.

[7] The Claimant avers that the 3rd Contract of Service was legally valid and binding since it was duly executed by the Claimant and the Chairman of the Foundation hence, the Claimant averred that the Foundation's decision

to invalidate his contract via letter dated 22.12.2023 and then terminating his services as of 1.3.2024 amounts to unfair dismissal.

[8] Further, the Claimant averred that he maintained a clean service record throughout his employment with the Foundation and greatly contributed to the development of the Foundation.

[9] Hence, the Claimant averred that the Foundation's action in terminating his 3rd Contract of Service was pre-mature and was done *malafide* and in breach of the principle of natural justice.

[10] The Claimant averred that his contract of service was permanent in nature and that the term contract is a misrepresentation.

[11] His last drawn salary as pleaded was RM 16,217.10 with allowances.

[12] On his dismissal by the Foundation, the Claimant contends that his dismissal was without just cause or excuse and hence pleaded for reinstatement and the other usual reliefs.

[13] In brief, the Foundation on the other hand, in their Statement of Reply dated 17.11.2024 pleaded that the Foundation's objective is to support Islamic institutions and teachings in the state of Penang by planning and promoting Islamic education to Muslim students and creating education opportunities and access to higher education for Muslims in Penang.

[14] They pleaded that in the Claimant's case; the 1st and 2nd Contract of Service was done in accordance with the decision of the Foundation's Board of Directors at the Special Meetings of the Board.

[15] However, they averred that at the Foundation's Board of Director's meeting on 13.12.2023 it was found that the 3rd Contract of Service was offered to the Claimant without the approval of Board of Directors of the

Foundation which was against Foundation's 'Terma dan Syarat Perkhidmatan' which was passed and approved at the Board of Director's meeting (Bil. 2/2019) on 15.11.2019.

[16] Hence, the Foundation averred that they informed the Claimant of the decision of the Board of Directors via letter dated 22.12.2023 that his 3rd Contract of Service is null and void and that only his 2nd Contract of Service is valid and applicable.

[17] Thereafter, according to the Foundation, the Claimant met a member of the Foundation's Board of Director to discuss the decision of the Board and thereafter the Claimant wrote to the Foundation via letter dated 12.1.2024 alleging that renewal of the said contract does not require the approval of the Board. However, the Foundation via letter dated 5.2.2024 informed the Claimant that the Board at a meeting on 2.2.2024 had decided to reject his appeal on the said ground and hence, according to the Foundation his employment came to an end on 1.3.2024 based on the 2nd Contract of Service.

[18] The Foundation averred that the Claimant's 2nd Contract of Service was a genuine fixed term contract that ended on 1.3.2024 and therefore denied the Claimant's averment that it was a permanent contract and that he was a permanent employee of the Foundation.

[19] In sum, the Foundation averred that based on the facts above, the termination of the Claimant was done with just cause and excuse.

Role of the Industrial Court

[20] The role of the Industrial Court was succinctly described by Raja Azlan Shah CJ (Malaya) (as His Royal Highness then was) in the celebrated case of **Goon Kwee Phoy v J&P Coats (M) Bhd [1981] 1 LNS 30; [1981] 1 MLJ 129 at p.136 (FC)** where His Lordship had this to say:

> "Where representations are made and are referred to the Industrial Court for enquiry, it is the duty of the Court to determine whether the termination or dismissal is with or without just cause or excuse. **If the**

employer chooses to give a reason or excuse for the action taken by him, the duty of the Industrial Court will be to enquire whether that reason or excuse has or has not been made out. If it finds that it has not been proven, then the inevitable conclusion must be that the termination or dismissal was without just cause and excuse. The proper enquiry of the Court is the reason advanced by the employer, and that court or the High Court cannot go into another reason not relied on by the employer or find one for him."

(emphasis is mine)

The Law on Fixed Term Contracts

[21] In perusing the Claimant's Statement of Case, he had contended that his fixed term contract was not a genuine fixed term contract and that it was a permanent one (CLWS-1 paragraph 15). It is established law that the non-renewal of a fixed term contract is considered as a dismissal as envisaged under s.20 of the Act along with constructive dismissals, forced resignation

and retrenchments etc. (See the decision of this Court in **Colgate Palmolive Sdn. Bhd. v Yap Kok Fong [1998] 3 ILR 843**).

[22] The approach that is to be applied by this Court in determining the issues in regard to a fixed term contract was succinctly stated by Faiza Tamby Chik J in the case of **M. Vasagam Muthusamy v Kesatuan Pekerja-Pekerja Resorts World Pahang & Anor [2003] 5 MLJ 262** where His Lordship had this to say:

> "I am of the opinion that the Industrial Court had correctly addressed the issue in this case by determining first whether or not the contract in question was a genuine fixed term contract…….**If the Industrial Court made a finding that it was not a genuine fixed term contract but was really a contract of employment, then only would the Industrial Court be required to ask whether there was a dismissal or not and that if so whether it was with just cause or excuse. In the instant case, since a finding was reached that the contract concerned was indeed a genuine fixed term contract, the question of there being a dismissal or not does not arise."**

"Once it is established that there is a genuine fixed term contract, the dissolution of the contract upon reaching the expiry date of the fixed term would clearly spell the end of the worker's tenure with the relevant company." (emphasis is mine)

[23] Hence this Court is duty bound to consider the following issues:

a. Whether the contract between the Claimant and the Company is a genuine fixed term contract;
b. Should the Court find that the said contract is a genuine fixed term contract, then at the conclusion of the said contract upon reaching the expiry date would mean that claimant's tenure with the company will come to an end.
c. If for any reason the Court finds that the said contract is not a genuine fixed term contract, then the issue of whether or not there was a dismissal and if so, whether it was with just cause or excuse will have to be determined.

[24] It can be gathered from the pleadings as outlined above, that the 3rd Contract of Service was offered to the Claimant during the duration of the 2nd Contract of Service and therefore when Foundation terminated the Claimant on 1.3.2024 under 2nd Contract of Service after its expiry, to my mind this amounted to a pre-mature termination of the Claimant's 3rd Contract of Service as it was due to expire only on 1.2.2026.

[25] However in addition, apart from what was mentioned above on the law on fixed term contracts, it is also trite law that an employer who pre-maturely terminates a fixed term contract as the Foundation did in the case of the Claimant here, would need to show that it was done with just cause or excuse. (See the decision of the Court of Appeal in **Omar Othman v Kulim Advanced Technologies Sdn. Bhd. [2019] 7 CLJ 18**).

The Standard of Proof

[26] It's trite that the Company bears the burden of prove on a balance of probabilities that the contract between the Company and the Claimant was a genuine fixed term contract and that it had come to an end by effluxion of time. However, it is the employee who bears the evidential burden to prove that there exist elements to show that the fixed term contract is not genuine. (See the decision of the High Court in **Toko Inomoto & Ors v Mahkamah Perusahaan Malaysia [2017] 1 LNS 201** and the decision of this Court in **Mazwan Mohd Ali v Universiti Islam Antrabangsa [2016] 4 ILR 238**).

Whether the Contract was a Genuine Fixed Term Contract?

[27] In order to decide on the issues posed by the parties as adverted to earlier, it is necessary for this Court to refer to the decision of the Federal Court in **Ahmad Zahri Mirza Abdul Hamid v AIMS Cyberjaya Sdn. Bhd. [2020] 6 CLJ 557** where it was decided that in determining whether a contract is a genuine fixed term contract there are three issues to consider:

(i) The intention of the parties.

(ii) Employer's subsequent conduct during the course of employment.

(iii) Nature of the employer's business and the nature of the work which an employee is engaged to perform.

[28] In perusing **Ahmad Zahri Mirza's** case it was clear that there were successive renewals of the employment contract over a period of time and over a number of years which was considered by the Federal Court as continuous employment without a break from 2009 to 2013 as opposed to the facts involving the Claimant and the Foundation where there were two renewal of the contract wherein the Claimant's first contract was from 1.3.2021 until 1.3.2023 (the 1st Contract of Service) and subsequently there was a renewal of that contract which commenced from 1.3.2023 to 1.3.2024 (the 2nd Contract of Service) and again the said contract was renewed from 1.8.2023 until 1.2.2026 (the 3rd Contract of Service) Hence, in the circumstances, essentially there was only two renewal of the fixed term contract.

[29] Further, in the Court of Appeal case of **A. Gilbert D'Cruz v Sapura Acergy Sdn. Bhd. [2022] 1 ILR 259,** the Court of Appeal held that since the Claimant's contract of employment was renewed continuously from 2008 until 2015 and he was not employed for only a specific project but he was involved in all the Company's project both local and overseas, the Court found that the employment contract was not a genuine fixed term contract.

[30] It was also pointed out by the Federal Court in **Ahmad Zahri Mirza** that the total duration or the length of service with the employer is also a factor to be considered and also whether there was a requirement under the contract for the employee to apply for its renewal.

[31] The Foundation's stand on this issue was that the Claimant's fixed term contract was not a permanent one but was a genuine fixed term contract.

The Submissions

[32] Learned counsel for the Claimant had contended in his submissions that the 3rd employment contract between the Claimant and the Foundation was in essence a permanent contract as opposed to a fixed term contract. Learned counsel submitted that COW-1, Dato' Roslinda Binti Mohd Shafie, who was the State Legal Advisor of Penang at the material time, went beyond her authority and powers as a member of the Board of Directors of the Foundation when she informed the Claimant that the 3rd Contract of Service was not valid as it was not approved by the Board of Directors at the material time.

[33] Apart from the above submission, learned counsel submitted that there was indeed a concluded contract when the Claimant and the Foundation entered into the 3rd Contract of Service on 1.8.2023 based on the general principles of the law on contract that there was in existence, offer and acceptance by the parties (the Foundation and the Claimant here) and consideration. Learned counsel based his submissions on the decisions of the Court of Appeal in **Cipta Cermat Sdn. Bhd. v Perbadanan Kemajuan**

Negeri Kedah [2007] 1 CLJ 498 and a decision of the High Court in **Melaka Farms Resort (M) Sdn. Bhd. v Hong Wei Seng [2004] CLJU 476.**

[34] Conversely, the learned counsel for the Foundation submitted that the 3rd Contract of Service is invalid, void and unenforceable because it was offered and executed without the approval of Foundation's Board of Directors as stated in the letters of the Foundation dated 22.12.2023 and 5.2.2024, wherein the Claimant's appeal against the Foundation's decision was dismissed (COB-1p.111-112 and p.130-131) respectively.

[35] In support of his submissions learned counsel for the Foundation referred to the Foundation's 'Terma dan Syarat Perkhidmatan Tenaga Kerja in Fasal 1, Bahagian II, Klausa 4.1' (COB-1 p.6) in which learned counsel contended provides that the appointment of a General Manager (Pengurus Besar) which subsequently came to be known as the Chief Executive Officer requires the approval of the Board of Directors. For ease of reference, the relevant part of the said document is reproduced as follows:

4. **Jawatankuasa Perjawatan**

4.1 Pemilihan dan pelantikan hendaklah diuruskan oleh Jawatankuasa Perjawatan seperti berikut:-

Bil.	Jawatan	Jawatankuasa Perjawatan
I.	Pengurus Besar	Lembaga Pengarah YIPP
II.	Timbalan Pengurus Besar	Seorang Ahli Lembaga Pengarah dan Pengurus Besar
III.	Eksekutif / Pengurus Bahagian	Pengurus Besar
IV.	Pegawai	Pengurus Besar
V.	Penolong Pegawai dan Kumpulan Sokongan	Pengurus Besar

[36] It was the primary contention of the counsel for the Foundation that the Claimant has knowledge of the process as stated above since his first and second contract were both executed after obtaining the Board's approval. Counsel contended that under cross-examination, the Claimant had admitted to this fact. Further, the learned counsel for the Foundation contended that the Claimant was present in a Board of Directors meeting on 15.9.2022 where the Board of Directors had rejected the extension of his second contract for three years and granted an extension for a year.

[37] In sum, based on the above facts, learned counsel for the Foundation submitted that the Claimant was aware of the procedure of obtaining the approval of the Board for any appointment, renewal or extension of his contract as a General Manager or Chief Executive Officer and not merely through the Chairman of the Board of Directors at the material time who was also the Deputy Chief Minister (1) of Penang, YB Dato Ir. Haji. Ahmad Zakiyuddin Bin Abdul Rahman (hereinafter referred to as the 'Chairman of the Board').

Evaluation of the Evidence and Findings of this Court

[38] Sifting through the evidence, it can be found that the 3rd Contract of Service from the period from 1.8.2023 until 1.2.2026 according to the Claimant was granted by the Chairman of the Board during the subsistence of the 2nd Contract of Service which was from 1.3.2023 until 1.3.2024. The 3rd Contract of Service was executed by both the Claimant and Chairman of the Board by placing their respective signatures to the said contract on 1.8.2023 and it was subsequently stamped (refer COB-1 p.100 -106).

[39] The Chairman of the Board at the material time was not called as a witness in the proceedings before this Court.

[40] According to the Claimant in his evidence during re-examination, he had approached the Chairman of the Board as there were no Board of Directors meeting at the material time to renew his 2nd Contract of Service as it was a requirement under the said contract that any application for renewal must be made to the Foundation not less than six months before the expiry of the contract and further, he added that he was running out of time. (refer Clause 4 of the 2nd Contract of Service).

[41] Upon perusing the Claimant's contracts of employment for the periods from 1.3.2021 to 1.3.2023 (the 1st Contract of Service) and from 1.3.2023 to 1.3.2024 (the 2nd Contract of Service), it is clearly provided that for the purpose of renewal of the said contracts, the Claimant is required to provide at least 6 months' notice of renewal to the Foundation.

[42] In order to decide on the issues posed by the parties as outlined above, it is necessary for this Court to refer to the decision of the Federal Court in **Ahmad Zahri Mirza Abdul Hamid v AIMS Cyberjaya Sdn. Bhd. [2020] 6 CLJ 557** (which was cited by the learned counsel for the Foundation) where it was decided that in determining whether a contract is a genuine fixed term contract there are three issues to consider:

(i) The intention of the parties.

(ii) Employer's subsequent conduct during the course of employment.

(iii) Nature of the employer's business and the nature of the work which an employee is engaged to perform.

[43] In **Ahmad Zahri's** case it was held that since the claimant who was first employed under a one-year fixed term contract as a Consultant in AIMS Data Centre Sdn. Bhd. which was later merged with the respondent's company and during this material time his contract was renewed annually over three consecutive years, the Federal Court was of the view that it's only proper to lift the corporate veil and treat both these companies as one single

unit/entity and hence, since the renewal of the contract by the respondent was uninterrupted without the claimant having to apply for its renewal, the Court held that it was indeed a permanent contract.

[44] The trite principle of law laid down by the Federal Court in **Ahmad Zahri Mirza (supra)** spells out that the ingredients to prove that a fixed term contract is actually a permanent contract disguised as fixed term contract among others is the fact, that there must not be a requirement where the employee is required to apply for a renewal of the fixed term contract. In stating so, the Federal Court in **Ahamd Zahri Mirza had** this to say:

> [64] The next case is *Holiday Villages* (*supra*). In this case, a resort employed both seasonal and permanent employees. Seasonal employees had a fixed term in their contracts which would range from three to six months or for a season. The resort was not open for the whole year and would be closed during the monsoon season which falls between November and January of each year. The employee had begun employment on a fixed term contract for one season. He was subsequently employed for six consecutive seasons. The Industrial

Court acknowledged that the resort was only open for nine to ten months in a year and that there was a genuine need for fixed term contracts as it was inconceivable to expect the resort to pay salaries when it was closed.

[65] Notwithstanding the genuine need for fixed term contracts, the Industrial Court found that the employee was, by the last fixed term contract in the series of fixed term contracts, a permanent employee of the resort as:

(i) he was employed even during the off-season as a laundry supervisor;

(ii) he was given a new contract <u>without the need to reapply</u>; and

(iii) he was able to continue in employment even after the alleged expiry of his penultimate fixed term contract without an extension.

[88] For all the foregoing reasons, the questions posed for our determination are answered as follows:

(i) Whether a need for work permit is a material consideration in determining whether an employment contract is a genuine fixed term contract; and

In the negative.

(ii) Does a contract of employment which is <u>renewed successively without application by the employee</u> and without any intermittent breaks in between, is in reality permanent employment?

In the affirmative.

[45] Hence, based on the evidence of the Claimant himself that he is required to provide at least 6 months' notice of renewal to the Foundation under the contract, I am of the view that this would mean that the Claimant has to reapply for an extension of the contract by giving at least six months' notice to the Foundation of his intention to continue serving with the Foundation by seeking an extension of the said contract.

[46] Hence, following the decision of the Federal Court in **Ahmad Zahri Mirza** case, it's my finding that although there were two successive renewals of the contracts namely the 1st and 2nd Contracts of Service without a break in the Claimant's case, however with the requirement that the Claimant has to reapply for an extension of the said contracts by giving at least six months' notice to the Foundation, it cannot be said that the 1st and 2nd Contracts of Service are permanent in nature. Hence, I am on all fours with submission of the learned counsel for the Foundation on this pertinent issue and is satisfied that the Foundation has discharged its burden in proving that the said contracts are a genuine fixed terms contract. **(Toko Inomoto & Ors v Mahkamah Perusahaan Malaysia (supra))**

[47] As such, after having considered the totality of the evidence presented and based on the above grounds, I find that there is insufficient evidence to show on record that the Claimant's 1st and 2nd Contracts of Service with the Foundation was actually a permanent contract of employment disguised or dressed up as a genuine fixed term contract.

[48] Hence, from the facts and evidence presented to this Court, it is clear that the Claimant was engaged under a genuine fixed term employment contract in regard to the 2nd Contract of Service which was terminated on 1.3.2024 due to effluxion of time. Hence, this Court is not required to ascertain whether the Claimant's 2nd Contract of Service was terminated with or without just cause and excuse. **(M. Vasagam Muthusamy v Kesatuan Pekerja-Pekerja Resorts World Pahang & Anor (supra)).** Hence, this to my mind is clearly not an issue for the Courts consideration and determination.

The 3rd Contract of Service

[49] This brings us to the 3rd Contract of Service. Since, I have decided that the Claimant's 2nd Contract of Service is a genuine fixed term contract, I am therefore of the view that the Claimant's 3rd Contract of Service can also be said to be genuine fixed term contract by reason of the fact that the Claimant has to reapply for an extension of the contract by giving at least six months' notice to the Foundation.

[50] However, notwithstanding the above finding, since it was the pleaded case that the 3rd Contract of Service was offered to the Claimant during the duration of the 2nd Contract of Service, and since I have already found that when the Foundation terminated the Claimant on 1.3.2024 under the 2nd Contract of Service after its expiry, this amounted to a pre-mature termination of the Claimant's 3rd Contract of Service as it was due to expire only on 1.2.2026 as adverted to earlier.

[51] Hence, what is now left to be decided by this Court is whether the Claimant's pre-mature dismissal under the 3rd Contract of Service of the Claimant from 1.8.2023 up and until 1.2.2026 which was running simultaneously or in tandem with the 2nd Contract of Service was done with or without just cause or excuse. **(Omar Othman v Kulim Advanced Technologies Sdn. Bhd. (supra)**).

[52] It must be noted that the 3rd Contract of Service was actually in effect and running during the subsistence of the 2nd Contract of Service, as such, for the purposes of this case, I am of the view that the 3rd Contract of Service should be looked at separately from the 2nd Contract of Service as the 3rd

Contract of Service was slated to expire only on 1.2.2026. In fact, under cross-examination COW-1 agreed that the 3rd Contract of Service was offered to the Claimant during the duration of the 2nd Contract of Service.

[53] Moreover, it is the contention of the Foundation that the 3rd Contract of Service for the period of 1.8.2023 until 1.2.2026 is invalid and void (refer paragraph 60.1 of the Foundations Written Submissions) which was vigorously disputed by Claimant. Hence, it's now duty of this Court to ascertain whether the 3rd Contract of Service was indeed null and void on the grounds that it was concluded without the approval of the Foundation's Board of Directors.

[54] The gravamen of the Foundation's case against the Claimant was that his appointment as Chief Executive Officer under the 3rd Contract of Service is null and void as it was obtained and concluded without the approval of the Foundation's Board of Directors.

[55] It was the contention of the Claimant in his evidence that he applied for a renewal of the 2nd Contract of Service (which had brought about the 3rd Contract of Service) by giving the requisite six months' notice as he was running out of time. In his evidence (CLWS-1) the Claimant testified that he had applied to the Chairman of the Board to extend his contract during the tenure of his 2nd Contract of Service in or around the month of July 2023.

[56] He added in his testimony that after his application, he was appointed as the Chief Executive Officer of the Foundation for a tenure of thirty (30) months from 1.8.2023 to 1.2.2026 which was the 3rd Contract of Service.

The Charter of the Board of Directors

[57] I have perused the Foundation's Charter of the Board of Directors (COB-3 p.26-36) (hereinafter referred to as the 'Charter') which was raised by the Claimant at the trial and found that there are four (4) clauses which are pertinent to the case before me. These are Clauses 1.3, 2.2.2, 2.2.3 and

5.0.2. Clause 1.3 simply states that in the event of any uncertainty or inconsistency, the Constitution of the Foundation, laws and regulations would prevail over the terms of the Charter. Clause 2.2 describes the duties of the Chairman of the Board of Directors and Clause 5.0 list down the role and responsibilities of Board of Directors.

[58] Clause 1.3 of the Charter provides as follows:

> Piagam ini berfungsi sebagai rujukan kepada Ahli Lembaga Pengarah dalam melaksanakan tanggungjawab mereka. Peruntukan yang terkandung dalam Piagam ini tidak mengambil tempat atau menggantikan undang-undang Malaysia atau rangka kerja pengawalseliaan yang terpakai. Sekiranya berlaku ketidakpastian dan / atau timbul percanggahan, Perlembagaan YIPP, undang-undang dan peraturan-peraturan hendaklah mengatasi kandungan Piagam Lembaga Pengarah ini.

[59] Clause 2.2.2 of the Charter provides as follows:

> Pengerusi Lembaga Pengarah adalah saluran utama antara Lembaga Pengarah dengan Kumpulan Pengurusan.

[60] Clause 2.2.3 of the Charter states the following:

> Pengerusi memastikan bahawa Lembaga Pengarah dimaklumkan dengan perkara yang berkaitan dan kelulusan Lembaga Pengarah diminta apabila diperlukan.

[61] Clause 5.0.2 of the Charter states the following:

> Lembaga Pengarah mengagihkan kelulusan kepda Jawatankuasa Lembaga Pengarah, Pengerusi, Pengurus Besar dan mana-mana badan lain yang dianggap patut bagi pengurusan YIPP. Sebarang

kuasa yang diagihkan adalah daripada Lembaga Pengarah dan tidak bertujuan untuk menggantikan kuasa Lembaga Pengarah.

[62] Having perused the evidence of COW-1, during cross-examination by the learned counsel for the Claimant, I find that COW-1 was well aware of Clauses 1.3, 2.2.3 and 5.0.2 of the Charter. Her evidence in this respect is as follows:

Q. Rujuk COB-3 m/s 28 perenggan 1.3, setuju, apa yang dinyatakan dekat sini, “Piagam ini berfungsi sebagai rujukan kepada Ahli Lembaga Pengarah dalam melaksanakan tanggungjawab mereka.” Dan, “Peruntukan yang terkandung tidak mengambil tempat atau menggantikan undang-undang Malaysia.” Setuju?

A. Setuju.

Q. Rujuk COB-3 m/s 29. 2.2.3 (Counsel reads 2.2.3) – “Pengerusi memastikan bahawa Lembaga Pengarah dimaklumkan dengan perkara yang berkaitan dan kelulusan Lembaga Pengarah diminta apabila diperlukan” Setuju dengan saya?

A. Setuju.

Q. Saya rujuk COB-3 Klausa 5 m/s 31 under paragraph 2 – "Lembaga Pengarah mengagihkan kelulusan kepada Jawatankuasa Lembaga Pengarah, Pengerusi, Pengurus Besar, dan mana-mana badan lain yang dianggap patut bagi pengurusan YIPP. Sebarang kuasa yang diagihkan adalah daripada Lembaga Pengarah dan tidak bertujuan untuk mengantikan kuasa Lembaga Pengarah."

A. Setuju.

Whether a Contract Has Been Concluded?

[63] COW-1 agreed that the Claimant's 3rd Contract of Service was signed by the Claimant and the Chairman of the Board at the material time and was subsequently stamped. However, she disagreed that the contract was valid although it was signed and stamped.

[64] Learned counsel for the Claimant submitted that there was indeed a concluded contract between the Claimant and the Foundation based on the decisions of the Court of Appeal in **Cipta Cermat Sdn. Bhd. v Perbadanan Kemajuan Negeri Kedah [2007] 1 CLJ 498** and a decision of the High Court in **Melaka Farms Resort (M) Sdn. Bhd. v Hong Wei Seng [2004] CLJU 476.**

[65] Conversely, the Foundation had disputed that there was a concluded contract which was the 3rd Contract of Service that was signed on 1.8.2023 between the parties, premised on the fact that the Chairman of the Board at the material time had no capacity to enter into the 3rd Contract of Service as he was only acting as Chairman of the Foundation in a caretaker role since the Penang State Assembly was dissolved on 28.6.2023 and the Penang State Election was held on 12.8.2023. (Referring to COW-1's evidence in COWS-1 Q&A no.18(v)).

[66] In explaining this position, COW-1 testified as follows during re-examination:

Q. Rujuk COB-1 m/s 107- pada masa mesyuarat lembaga pengarah pada 13.12.2023 tak ada Pengerusi YIPP yang dilantik? Jelaskan mengenai kehadiran pegawai dalam Lembaga Pengarah pada 13.12.2023?

A. Masa itu masa peralihan dimana DUN telah dibubarkan maka Kerajaan yang ada masa itu adalah “caretaker government” jadi walaupun lantikan Pengerusi as TKM (1) its still there, he can’t function as the Pengerusi because it’s a caretaker government.

[67] When a question was put to COW-1 that by reason of Clause 5.0.2 of the Charter, the Chairman of the Board at the material time had the power to appoint the Claimant under 3rd Contract of Service, COW-1 flatly denied the said suggestion. Her answer in this regard was as follows:

Q. Berdasarkan Piagam ini, Dato, Pengerusi mempunyai, that means, Pengerusi yang dinyatakan pada kontrak yang ketiga ini, mempunyai kuasa untuk melantik En. Fitri untuk kali ketiga dan tidak wujud sebarang ketidakpatuhan dalam proses perlantikan En. Fitri untuk kontrak ketiga?

A. Tidak setuju.

[68] The Court observes that the Foundation did not dispute the powers of the Chairman although he was in a caretaker role at the material time on the ground that he had acted *ultra vires* his powers under the Charter when he entered into the 3rd Contract of Service during the subsistence of the 2nd Contract of Service or that the 3rd Contract of Service is null void on the grounds of duplicity as the Claimant was serving the Foundation under two contracts of service running in tandem with each other.

[69] Having said that, after having examined Clause 2.2.2 and 5.0.2 of the Charter, and the submissions of the learned counsels, I am of the considered view that the Chairman of the Board had the requisite approval under Clause 5.0.2 of the Charter to enter into the 3rd Contract of Service with the Claimant since the said clause clearly grants the power of approval to the Chairman of the Board solely for the purpose of the management of the Foundation.

[70] At this juncture I am of the view that even if the Chairman of the Board was acting in caretaker role as contended by the Foundation, the Foundation nevertheless, would still need to function as usual and all its needs, be it from the perspective of human resources, finance and operations etc would still

have to be looked into to ensure that the workings of the Foundation is not disrupted in any way. Hence, the Chairman of the Board was for all intents and purpose acting in a caretaker role was under a duty to ensure that the Foundation operates as usual without any disruptions.

[71] Moreover, by convention, a key public officer in caretaker role under a caretaker government typically avoids making major policy decisions or entering into large scale contracts with huge financial implications to the government, however from the facts and evidence before me, I find that the execution of the 3rd Contract of Service was nothing out of the ordinary as it was a routine employment contract in which its terms and conditions are reasonable and is very much similar with the previous contracts namely the 2nd Contract of Service. In particular, the Claimant's salary was the same as the 2nd Contract of Service.

[72] Further, I am of the view that essentials decisions like the renewal of contracts of persons in key position within the organisation, like the Claimant here, can be undertaken by the Chairman of the Board in a caretaker role, more so when the Charter itself under Clause 5.5 provides that the

Foundation shall at all times have a General Manger which was later known as Chief Executive Officer of the Foundation.

[73] I take cognisance that COW-1 had disputed that the Chaiman of the Board had such powers to approve, since according to her in her evidence during re-examination, there was nothing in a documentary form which was presumably a letter from the Foundation's Board of Directors that gives the Chairman of the Board or any individual such powers of approval.

[74] Having examined the testimony of COW-1 on this issue, I am unable to accede to her contention and explanation as there is no requirement under the Charter that the Board of Directors have to provide a written approval or a formal authorization of power (a fiat for e.g.) for the Chairman of the Board to act for the proper management of the Foundation.

[75] Hence, based on the grounds as aforesaid, I find that the Chairman of the Board at the material time had not exceeded his powers that was granted to him under Clause 5.0.2 and/or acted *ultra vires* the said clause and

therefore I am satisfied that he had the capacity to execute the 3rd Contract of Service with the Claimant.

[76] Thus, after having considered the facts and evidence in totality and in relying on s.10(1) of the Contracts Act 1950 and applying the fundamental elements of contract law on the balance of probabilities, I find that there was indeed a concluded contract in respect of the 3rd Contract of Service as contended by learned the counsel for the Claimant since the said contract was entered into freely by the parties, with parties competent to contract and there was lawful consideration since the Claimant had commenced serving the Foundation as its CEO under the 3rd Contract of Service. (**Melaka Farms Resort (M) Sdn. Bhd. v Hong Wei Seng [2004] CLJU 476**).

Issue of the Approval of the Board of Directors

[77] The minutes of the meeting on 13.12.2023 had mentioned that there was an *"irregularity*" in the appointment of the Claimant which was in relation to his 3rd Contract of Service (refer COB-1 p.109 item 2.0). From the meeting

minutes it can be gathered that the *'irregularity'* was in respect of the 3rd Contract of Service not being brought for approval to the Foundation's Board of Directors. Consequently, the Board of Directors which sat on 13.12.2023 decided to annul the appointment of the Claimant under the 3rd Contract of Service (COB-1 p.109 item 2.0 (i)).

[78] Having considered the Charter and the evidence as a whole, I am of the considered view that the Board of Directors of the Foundation should have approved the 3rd Contract of Service instead of annulling it as it was a concluded contract between the Foundation and the Claimant and was legally enforceable. The irregularity in the Claimant's appointment that it was not brought to the Foundation's Board of Directors for approval as required under Clause 2.2.3 of the Charter flies in the face of Foundation's contention since COW-1 herself had confirmed in cross-examination that the Charter is subjected to existing laws pertaining to the formation of contracts which are offer and acceptance etc and as such the 3rd Contract of Service was in essence a valid contract. In this regard, COW-1 testified as follows:

CL-C1: **So, Puan. Puan sebelum ini menyatakan Piagam ini merujuk kepada, tertakluk kepada undang-undang sedia ada.**

Undang-undang kontrak sedia ada menyatakan offer, acceptance, tandatangan. Dia merupakan satu kontrak yang sah.

Puan Penasihat Undang-undang. So, Puan sepatutnya tahu benda ini.

So, ini merupakan satu kontrak yang sah.

Perkara lain. Proses lain itu, kita akan. Kita akan tanya soalan dalam masa akan datang. Rujuk kepada basics.

CO-W1: Basics of what?

CL-C1: Offer, acceptance.

CO-W1: And acceptance.

CL-C1: And the signature makes this a valid contract.

Would you agree with me?

CO-W1: Yes. In the (inaudible) of law.

[79] Thus, I am of the considered view that the Foundation's contention that the Claimant's 3rd Service Contract is invalid based on an irregularity on the ground that it was not brought to the Board of Directors for approval is untenable in the circumstances of this case. To my mind based on the evidence of COW-1 as stated above, COW-1 having known that the 3rd Service Contract had already been concluded legally, should have apprised the Board of Directors about the legality and validity of the said contract at the meeting on 13.12.2023 in order for it to be approved.

[80] Furthermore, the subsequent approval of the 3rd Contract of Service would not have prejudiced the Foundation in any way in light of the stellar performance of the Claimant during his stint at the Foundation before he was terminated. This was evident in the Claimant's achievements that was highlighted by the Foundation for the purposes of renewing his contract for the second time (the 2nd Contract of Service) (refer Meeting Minutes dated 15.9.2022 at COB-1 p.91). The Claimant's achievements were acknowledged COW-1 in her evidence during cross-examination. There were also no issues raised about the Claimant's record of service with the Foundation which may have justified the decision to pre-maturely end the Claimant's contract.

[81] Hence, based on the evidence before me, I am of the view that the decision to annul the appointment of the Claimant under Claimant's 3rd Contract of Service was done mechanically by the Board of Directors of the Foundation without regard to the laws of Malaysia as to the formation of a contract in particular s.10(1) of the Contracts Act 1950 as adverted to earlier and therefore amounted to a unilateral termination of the said contract. Hence, this Court being a Court of equity and good conscience is duty bound strike down any decision to terminate the services of a workmen which was arrived at mechanically.

[82] It's the opinion of this Court therefore, that the termination of the Claimant by the Foundation as of 1.3.2024 under the 2nd Contract of Service, in total disregard to the Claimant's 3rd Contract of Service which was running in tandem during the subsistence of the Claimant's 2nd Contract of Service was harsh and unjust. The termination of the Claimant from his services on 1.3.2024 under 2nd Contract of Service meant that his services under 3rd Contract of Service was pre-maturely terminated on 1.3.2024 since it was only due to expire on 1.2.2026.

Security of Tenure and the Right to Livelihood

[83] Looking at the factual matrix of this case from the point of view of the Federal Constitution which to my mind is the holy book of the nation and a sacrosanct document, it cannot be gainsaid that that a workman like the Claimant who was lawfully appointed by the Foundation via a contract of employment, undoubtedly has security of tenure of employment which has been recognized as a proprietary right to livelihood under Article 5 of the Federal Constitution, meaning, the right to be engaged in lawful and gainful employment until and unless he is dismissed from gainful employment with just cause or excuse (**Tan Teck Seng v Suruhanjaya Perkhidmatan Pendidikan & Anor [1996] 2 CLJ 771** and **Subramaniam Letchimanan v The United States of America & Another Appeal [2021] 7 CLJ 371**).

[84] In **Hong Leong Equipment Sdn Bhd v Liew Fook Chuan & Other Appeals [1997] 1 CLJ 665,** in speaking for the Court of Appeal, Gopal Sri Ram JCA had this to say:

> "The legislature has willed that the relationship of employer and workman as resting on a mere consensual basis that is capable of termination by the employer at will with the meagre consequence of paying the hapless workman a paltry sum as damages should be altered in favour of the workman. **It has accordingly provided for security of tenure and equated the right to be engaged in gainful employment to a proprietary right which may not be forfeited save, and except, for just cause or excuse.**" **(emphasis is mine)**

[85] The importance of security of tenure in employment was also underscored in **Nova Charm Sdn. Bhd. v Ooi Hock Huat 2002 2 ILR 706** where this Court stated:

> "The IRA protects the security of tenure of a workman engaged under a contract of service. **The principle of security of tenure guarantees an employee's legitimate expectation to continue in his employment and to earn his livelihood unless his employer has**

just cause or excuse or excuse to terminate his services…."

(emphasis is mine)

[86] Hence, based on the authorities cited above, I am of the view that the right to livelihood cannot be trampled upon merely because of technicalities and irregularities like board of director's approvals etc. This is not to say that approvals from the board of directors of a company or an organisation are not important or unnecessary, but such a requirement must always be weighed in with reasonableness and objectivity. Like in the instant case, the 3rd Contract of Service could have been approved at the Board of Directors meeting on 13.12.2023 based on existing laws pertaining to contracts and the Claimant could have continued his employment with the Foundation up and until 1.2.2026. Surely a mere irregularity cannot be the basis for dismissing an employee, depriving him/her of their constitutional to right to livelihood.

[87] Hence, this Court being a Court of equity and good conscience is emboldened to act based on the substantial merits of a case without regard to technicalities and legal form, and hence, the Court cannot and must not pay mere lip service to this phrase. This phrase to my mind is the very foundation of the Industrial Court and breaths life to it and extends beyond a cosmetic existence, carrying with it the notion of justice and fair play. It is specifically provided under s.30(5) of the Act so as to ensure that the decisions of the Industrial Court are nuanced, tempered with objectivity and reasonableness and not tied to any technicality or irregularities as exposed in the Claimant's case before this Court.

[88] To my mind it is this phrase which has empowered the Industrial Court to assess the proportionality of punishments in relation to acts of misconduct and to strike down any decision to terminate the services of a workmen which was arrived at mechanically without thought and with absolute disregard to concept of fairness and logic.

[89] Hence in the upshot, this Court after having considered all the evidence led before it, the pleadings filed, written submissions of the parties and keeping in mind Section 30(5) of Act 177 which behoves upon this Court to act according to equity, good conscience and the substantial merits of the case without regard to technicality and legal form, finds that the Foundation has failed to prove on a balance of probability that the pre-mature termination of the Claimant under the 3rd Contract of Service was done with just cause and excuse. **(Omar Othman v Kulim Advanced Technologies Sdn.Bhd. (supra)**).

[90] This Court therefore finds that the termination of the Claimant to be without just cause and excuse.

Remedy

[91] This Court finds that the Claimant was employed on a genuine fixed term contract for the period of two years and six months from 1.8.2023 to 1.2.2026 which is yet to expire as of the date of handing down this award.

The learned counsel for the Claimant had pleaded for the Claimant's reinstatement to his former position.

[92] However, in considering the facts and circumstances of this case, I am of the view that no order of reinstatement should be made as the Claimant had testified that he had found alternative employment since 3.3.2025 and moreover, I am of the opinion that reinstatement is not appropriate as it is apparent from the facts of this case that this may put both parties in a difficult and an intolerable situation which may in turn disrupt peace and harmony in the establishment and therefore it will not be beneficial for both parties.

[93] The practice in cases of termination of a fixed term contract is to limit backwages to the remainder of the unexpired portion of the fixed term contract of employment. **(See Thangasamy Brown v. Pelabuhan Tanjung Pelepas Sdn. Bhd. [2009] 6 CLJ 144 and Kolej Tafe & Anor v. Kalimuthu Arumugam [1999] 1 ILR 171).**

[94] The Court takes note that since the Claimant was employed on a fixed term contract from 1.8.2023 to 1.2.2026 under the 3rd Contract of Service and he was pre-maturely dismissed effective from 1.3.2024, this means that the Claimant had twenty two (22) months remaining in the said contract before it was pre-maturely terminated by the Foundation.

[95] The Court is aware that any form of compensation awarded to the Claimant must be subjected to a deduction for post-dismissal earnings as required in the case of **Dr. James Alfred (Sabah) v. Koperasi Serbaguna Sanya Bhd (Sabah) & Anor [2001] 3 CLJ 541,** where the Federal Court held:

> "In our view, it is in line with equity and good conscience that the Industrial Court, in assessing quantum of backwages, should take into account the fact, **if established by evidence or admitted**, that the workman has been gainfully employed elsewhere after his dismissal. Failure to do so constitutes a jurisdictional error of law. Certiorari will therefore lie to rectify it." **(emphasis is mine)**

[96] The Claimant in cross-examination informed the Court that after he was dismissed from employment with the Company on 1.3.2024, he tried looking for a job and only managed to secure employment as a Manager in March 2025 with a salary of RM 6,500.00 per month. Meaning, the Claimant was unemployed for nearly a year. Hence, I am of the view that a deduction of five (5) percent is reasonable in the circumstances on account of post dismissal earnings for the remaining period of his fixed term contract.

[97] Hence, back-wages for the balance of the unexpired fixed term contract is calculated as follows:

RM 15,121.25 x 22 months = **332,667.50** less 5% on account of post dismissal earnings is equivalent to **RM 316,034.13.**

[98] Hence the total sum of compensation payable to the Claimant is RM **316,034.13** only.

Final Order

[99] This Court hereby orders that the total sum of **RM 316,034.13** less any statutory deductions is to be paid to the Claimant by the Foundation through his solicitors, the Messrs. Jessy & Associates within 30 days from the date of this award.

HANDED DOWN AND DATED THIS 11TH DAY OF DECEMBER 2025

-signed-

(JEYASEELEN A/L T. ANTHONY)
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
PENANG